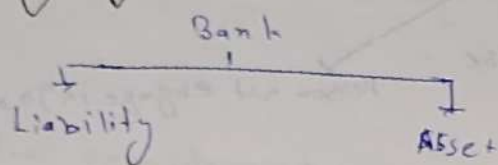


Monetary Policy

How banking system work?



NDTL

Net demand and Time Liability.

(RBI keeps a part of your NDTL as a reserve)

CRR

cash reserve ratio $\rightarrow 4\%$

Money multiplier

A maximum amount of new money created by banks for every dollar of reserve

$$MM \propto \frac{1}{CRR}$$

Reserve

Cash Reserve

Statutory Liquidity Ratio

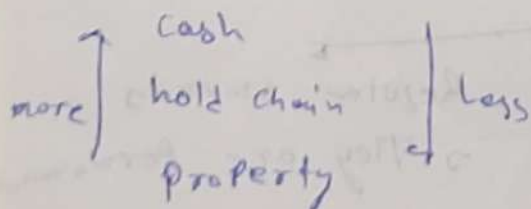
$\rightarrow$ Reserve in the form of cash

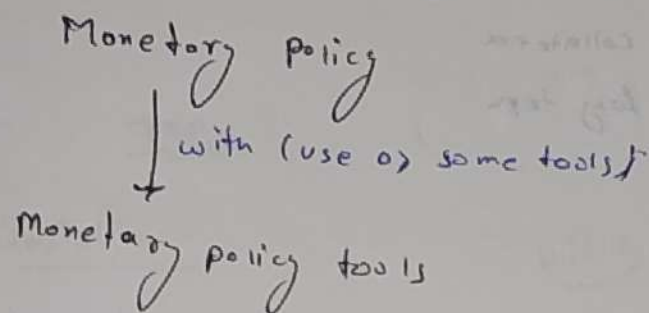
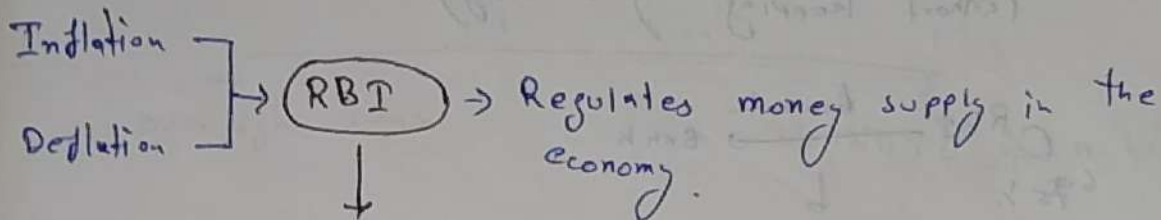
$\rightarrow$ Reserve in the form of cash, hold, h-sec

$\rightarrow$ Banks do not earn any interest rate on CRR

$\rightarrow$ Banks earn interest rate on SLR, Profit is obtained

Liquidity

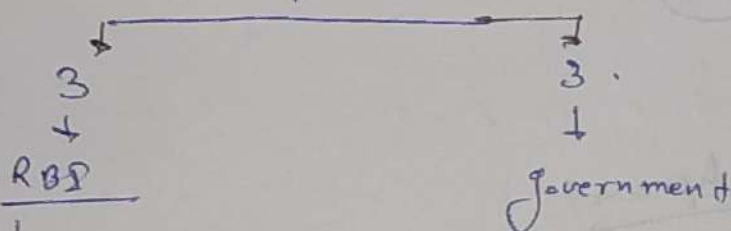




Monetary policy committee (MPC)

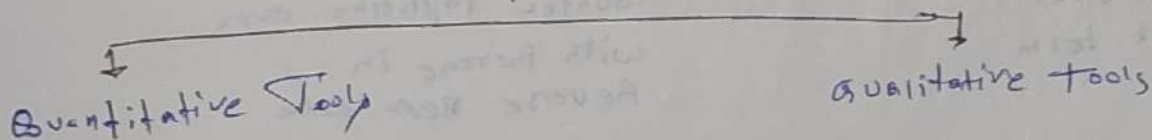
is on recommendation of Unit Patel Committee

6 members



RBI Governor
Deputy Governor
Executive

Monetary Policy Tools



- Bank rate
- open market operations
- marginal standing facility